

Chapter:05:Market structure in an Islamic framework:

Outline:

Definition of Market, types of market, Definition of perfectly competitive Market, Equilibrium conditions of perfect competitive market with Islamic perspective.

Definition of Monopoly, Anti-social phenomenon of Monopolist, Distinction between an Islamic Monopolist and conventional Monopolist. Price-quantity relationship of a monopoly market in an Islamic perspective , Price discrimination and price differentiation in islam.

🌸 Definition of Market:

In economics, a market refers to a system, place, or arrangement where buyers and sellers interact to exchange goods, services, or resources. Through this interaction, the price of a product is determined by the forces of supply and demand.

A market does not necessarily require a physical place; it can be local, national, international, or even online.

So that⇒

- 📌 A market involves buyers (demand side) and sellers (supply side).
- 📌 Exchange takes place voluntarily.
- 📌 The price is determined through market forces.
- 📌 It can function even without face-to-face interaction (digital markets).
- 📌 Markets help allocate resources efficiently in an economy.

🌸 Definition of Market structure :

Market structure means the way a market is set up, based on the number of sellers, nature of the product, and level of competition.

🌸 Types of Market Structure

There are four main types:

1. Perfect Competition

Features:

- ◆ Very large number of buyers and sellers
- ◆ Identical (homogeneous) product

✦ No single seller can control price → price taker

Free entry and exit of firms

Full information available

Example: vegetable markets, agricultural products (rice, wheat).

2. Monopoly

Features:

Only one seller

No close substitutes for the product

High barriers to entry

Firm controls the price → price maker

Consumer has very limited choice

Example: Bangladesh Railway (government monopoly).

3. Monopolistic Competition

Features:

Many sellers

Products are similar but slightly different (differentiated)

Some control over price

Advertising and branding are important

Barriers to entry are low.

Example: clothing shops, restaurants, cosmetics brands.

4. Oligopoly Market

Features:

A few large sellers dominate the market

Products may be identical or different

High entry barriers

Firms may compete or cooperate

One firm's action affects others

Example: mobile phone companies, cement industry, airline industry.

❖ PERFECT COMPETITION

Definition: Perfect competition is a market structure in which many buyers and sellers interact, selling homogeneous products, with free entry and exit, and complete information.

In Islam, perfect competition is encouraged because it promotes fairness, transparency, and prevents exploitation.

❖ Equilibrium Condition (Traditional Theory)

A profit-maximizing firm under perfect competition must satisfy three conditions:

(1) $TR \geq TVC$

- Total Revenue must be at least equal to Total Variable Cost.
- Otherwise, the firm should shut down in the short run.

(2) $MC = MR$ (Profit-maximizing point)

- Marginal Cost equals Marginal Revenue $\rightarrow$ equilibrium output.
- At this point, revenue gained from the last unit equals its cost.

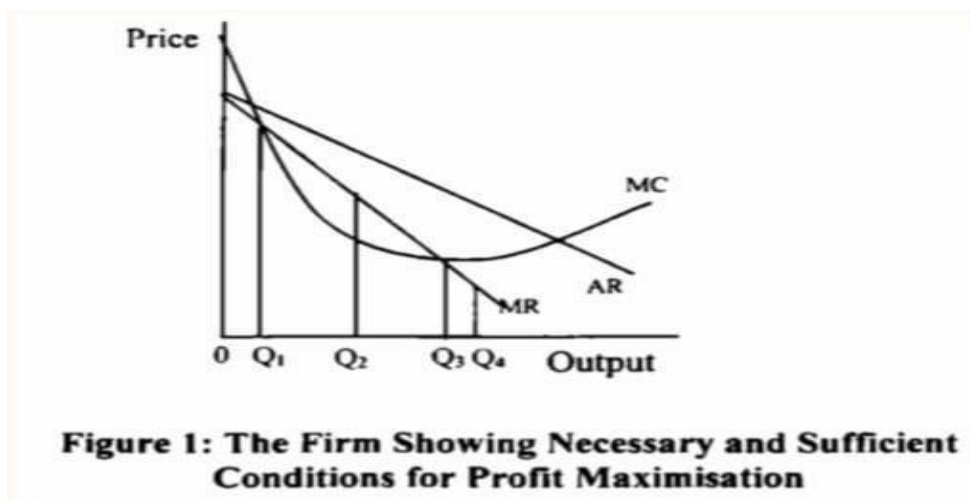
(3) MC curve cuts MR from below

- For slightly smaller outputs $\rightarrow MR > MC$
- For slightly larger outputs $\rightarrow MC > MR$

This ensures maximum profit, not minimum.

Graphical Explanation

- At output Q_2 , $MC = MR$ and MC cuts MR from below $\rightarrow$ **profit-maximizing**.
- At Q_1 , $MC = MR$ but MC cuts from above $\rightarrow$ **profit-minimizing**.



❁ Characteristics of Perfect Competition (General + Islamic Perspective)

➤ General Characteristics

1. Many buyers and sellers
2. Homogeneous product
3. Perfect information
4. Free entry and exit
5. Price taker behavior
6. Zero economic profit in long run
7. $MC = MR = \text{Price}$

➤ Islamic Perspective Characteristics:

1. Fair pricing (no exploitation, no monopoly power)
2. No hoarding or artificial scarcity
3. Ethical competition (avoid fraud, cheating, gharar)
4. Honest information disclosure
5. Social welfare priority (benefit to society > maximum profit)
6. Full-cost pricing allowed for fairness
7. Government intervention allowed to protect poor consumers
8. Profit is permissible but must be halal, reasonable, and just.

❁ Monopoly Market and islam

Definition of Monopoly

A monopoly is a market structure where a single seller controls the entire supply of a product or service for which no close substitutes exist. Because the monopolist is the only seller, it becomes the price maker, meaning it has the power to set the price by controlling output.

❁ Anti-Social Phenomenon of a Monopolist

A monopolist often behaves in a way that goes against social welfare. These negative behaviors are called anti-social phenomena, including:

- (a) Restriction of Output

Monopolists produce less than socially optimal levels to keep prices high.

(b) Higher Prices

They charge a higher price than competitive markets because buyers have no alternatives

(c) Exploitation of Consumers

Monopolists may supply low-quality products or provide poor service as customers cannot switch.

(d) Resource Misallocation

Because the monopolist produces below optimum output, it causes deadweight loss and reduces economic efficiency.

(e) Barriers to Entry

Monopolists create or maintain artificial barriers (legal, financial, technological) to prevent competition.

(f) Price Discrimination

They may charge different prices to different groups, exploiting consumer surplus.

(g) Profiteering

Monopolists aim at super-normal profits, ignoring social welfare.

❁ Islamic Policies to Eliminate the Anti-Social Phenomenon of Monopoly

Islam condemns monopoly because it leads to injustice, exploitation, and social harm. To ensure fairness and public welfare, Islamic economics proposes the following policies:

1. Prohibition of Hoarding (Ihtikār)

Islam strictly forbids hoarding essential goods to create artificial scarcity and raise prices. The Prophet Muhammad (ﷺ) said:

“Whoever hoards is a sinner.”

► Policy implication:

The Islamic state must ban hoarding of necessities and impose penalties on offenders.

2. State Intervention for Public Interest (Maṣlaḥah)

When monopoly harms consumers, the state is allowed to intervene to protect society.

► Policy implication:

The government may regulate prices, control supply, or break monopolistic power to ensure justice.

3. Promotion of Free and Fair Competition

Islam encourages open market participation and discourages market dominance by a single firm.

► Policy implication:

Barriers to entry should be removed, and equal opportunity should be provided to all producers.

4. Price Control in Exceptional Circumstances

Although Islam prefers market-determined prices, price fixing is permitted when monopolists exploit consumers.

► Policy implication:

Temporary price ceilings may be imposed on essential goods during crises.

5. Encouragement of Ethical Business Conduct

Islam emphasizes moral responsibility and accountability to Allah in economic activities.

► Policy implication:

Traders should be educated and monitored to ensure honesty, fairness, and social responsibility.

6. Market Supervision (Ḥisbah System)

The institution of Ḥisbah ensures market transparency and justice.

► Policy implication:

A Muḥtasib should monitor weights, measures, prices, and trade practices to prevent monopolistic abuse.

7. Distribution of Wealth through Zakat and Sadaqah

Concentration of wealth strengthens monopoly power.

► Policy implication:

Zakat redistributes wealth and reduces economic inequality, weakening monopolistic dominance.

8. Encouragement of Cooperative Enterprises

Islam supports partnership and cooperation (Mushārah, Muḍārah).

► Policy implication:

Cooperative businesses should be promoted to counter large monopolistic firms.

So, Islamic economic policies aim to eliminate monopoly by combining moral values, legal restrictions, and state intervention.

❁ CHARACTERISTICS OF A MONOPOLIST IN ISLAM

➤ Islam recognizes that monopoly may exist, but it fundamentally transforms the behavior of the monopolist. Drawing from Hamid, Mannan, and broader Islamic principles, the characteristics of an Islamic monopolist differ sharply from a conventional profit-maximizing monopolist:

1. Profit Objective: Satisficing, Not Maximizing :

- ❖ A conventional monopolist aims to maximize profit.
- ❖ An Islamic monopolist seeks “satisficing profit”, a reasonable and fair return without Exploitation.
- ❖ Profit is allowed in Islam, but excessive gain at the cost of societal welfare is not.

2. Fair and Competitive-Level Pricing :

- ❖ Prices must be comparable to competitive market prices.
- ❖ There is no room for raising prices artificially through hoarding or supply manipulation.
- ❖ The Islamic monopolist prioritizes justice (adl) and public welfare (maslahah).

3. Higher Output and No Artificial Scarcity:

- ❖ Unlike conventional monopolies that restrict output, Islamic monopolists:
 - Offer higher quantities of goods.
 - Avoid artificial scarcity.
 - Ensure accessibility for consumers.

4. No Hoarding or Exploitation :

- ❖ Hoarding (ihtikar) to manipulate price is strictly prohibited.
- ❖ A hadith states:

“Whoever hoards food for forty days seeking a high price, Allah dissociates himself from him.”

- ❖ Any form of artificial monopoly created to exploit the poor is haram.

5. Ethical Conduct and Transparency :

- ◆ Honesty, disclosure, and non-deceptive behavior are essential.
- ◆ Islamic monopolists avoid collusion, misinformation, or unfair dealing.

6. Role of Regulation :

- ◆ Islamic monopolists accept monitoring by the hisbah or Islamic state to ensure:
 - Fair pricing
 - Prevention of exploitation
 - Market efficiency with ethical consideration.

❁ Distinction between an Islamic monopolist and a conventional monopolist

Aspect	Conventional Monopolist	Islamic Monopolist
Objective	Profit maximization	Fair profit + social welfare
Pricing	High price; $MR=MC$	Fair price; no exploitation
Output	Restricted for profit	Cannot hoard; supply must meet needs
Ethics	No moral limits	Must follow Islamic ethics
Profit	Super-normal	Reasonable + halal
Consumer Impact	Exploitation possible	Protection of consumer rights
Govt. Role	Limited	Strong <i>hisbah</i> supervision
Behavior	Anti-competitive allowed	No cheating, manipulation, hoarding

❁ PRICE–QUANTITY RELATIONSHIP OF A MONOPOLY MARKET IN AN ISLAMIC PERSPECTIVE

1. Conventional Monopoly: $MR = MC$ Rule

- In standard economics:
 - ◆ Demand curve slopes downward → AR and MR also fall.
 - ◆ $MR < Price$ → leads to lower output & higher prices.
 - ◆ Monopolist produces where $MR = MC$, not where $Price = MC$.
- Result: Higher prices and lower quantities compared to perfect competition.

2. Islamic Perspective: No Unique Price–Output Combination

- Hamid and Mannan emphasize a key Islamic insight:
 - ✦ Different demand conditions can lead to the same output but different prices.
 - ✦ Monopoly equilibrium is not unique, because the firm faces a downward-sloping demand curve.
 - ✦ This flexibility provides space for:
 - ⇒ Ethical pricing
 - ⇒ Welfare-oriented output levels
 - ⇒ Government intervention to maintain fairness

3. Islamic Adjustment of Monopoly Behavior

- Under Islamic principles, the monopolist:
 - ✓ Does not rely solely on $MR = MC$.
 - ✓ Chooses price and output consistent with:
 - Fairness
 - Prevention of harm
 - Stable access for consumers
 - ✓ The monopolist may follow full-cost pricing, adding a reasonable markup instead of maximizing Profits.

4. Outcome

- Prices remain lower than conventional monopoly prices.
- Output is higher, benefitting consumers.
- The market outcome moves closer to competitive equilibrium, but with an ethical foundation.

❁ PRICE DISCRIMINATION And Islam

Price Discrimination

Price discrimination occurs when a single seller charges different prices for the same product to different consumers, without any difference in cost of production.

Usually practiced by monopolists or firms with market power

Price Differentiation

Price differentiation refers to charging different prices for different versions or qualities of a product, where the cost of production differs.

1. Why “Price Differentiation”? / Difference between price discrimination and price differentiation?

➤ Islamic economists prefer the term “price differentiation” instead of price discrimination” because:

- “Discrimination” carries negative connotations.
- “Price differentiation” emphasizes social justice and welfare goals, not exploitation.

2. Islamic View: Permissible When Socially Justified

➤ Price differentiation is permissible when it promotes:

◆ Genuine Difference in Product or Service: Price must reflect real differences in quality, quantity, features, or cost.

◆ Transparency

◆ Equity among regions or groups

◆ Fair access to essential goods

- Support for poor or underdeveloped areas
- Encouragement of industries that meet basic needs

3. Examples from Islamic Economics :

➤ Example 1: Transport Company

✓ Charges lower fares to poorer regions and higher fares to wealthier ones.

➤ Example 2: Electricity Company

✓ Supplies electricity cheaply to industries producing essential goods.

✓ Charges higher rates for luxury-good industries.

✓ These practices align with Islamic principles of:

✓ Prioritizing essential needs

Reducing income disparities

✓ Preventing undue hardship

4. When Price Differentiation is Not Allowed

➤ Islam prohibits:

✓ Exploitative differential pricing

✓ Taking advantage of weak consumers

✓ Hidden or deceptive pricing

✓ Discrimination that harms the poor or distorts welfare

➤ Thus, differentiation must aim at social welfare, not monopolistic profit extraction.

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